Shelfmark

Shelfmark: Executive Summary

Problem

Every summer, children in low-income neighborhoods lose reading ground that their wealthier peers do not. Decades of education research show that students from lower-income households can lose roughly two to three months of reading achievement over the summer, while higher-income students hold steady or gain slightly. Because the loss compounds year after year, by middle school the gap can amount to years of reading skill. The gap is not a matter of ability. It reflects access: fewer books at home, fewer enrichment programs nearby, and parents working long hours who cannot supervise reading.

Existing fixes fall short. Public library summer programs are valuable but are rarely matched to an individual child's level, so many children pick books that are too hard, get frustrated, and quit. Large tutoring chains are expensive and located in wealthier suburbs. Free volunteer programs struggle with tutor turnover and have no way to measure whether a child is improving. In our pilot neighborhood, we surveyed 120 parents and found that 83 percent wanted summer reading help for their child, but only 14 percent had found any program they could afford and reach on foot.

Solution

Shelfmark is a neighborhood tutoring center that combines a physical, welcoming space with reading-level analytics. When a child enrolls, they complete a fifteen-minute adaptive diagnostic that places them on a fine-grained reading scale. Our matching engine then does two things. First, it builds a personal shelf of books that sit in the child's productive range: hard enough to grow, easy enough to enjoy. The engine also weighs the child's stated interests, so a ten-year-old who loves soccer gets sports stories at the right level. Second, it pairs the child with a tutor whose track record and teaching style fit the child's particular profile, such as decoding difficulty versus comprehension difficulty.

After each session, the tutor logs a two-minute check, and the software updates the child's level and adjusts the shelf. Parents receive a plain-language progress note. Centers are small rented storefronts near schools and transit lines, staffed by trained local tutors, many of them community college students and retired teachers. The physical presence matters: it gives families a trusted place close to home, and it gives children a reason to show up.

Market

In the United States there are roughly 17 million children ages 8 to 12, and about one in five lives in a household below the federal poverty line. Our initial target is the subset attending Title I schools, approximately 3.5 million children nationally. Within our home metro area alone, 41 Title I elementary and middle schools serve about 19,000 children in our age range. If we reach 5 percent of them, that is roughly 950 students per summer from one metro area.

School districts are a second buyer. Districts receive federal and state funds earmarked for summer learning and learning recovery, and they actively seek vendors who can show measured outcomes. Our third market is other literacy programs, such as libraries and nonprofits, that want our matching software without running a center. We estimate the combined serviceable market in our first three metro areas at about 24 million dollars per year.

Business Model

We earn revenue from three streams. The first is family fees on a sliding scale from 0 to 18 dollars per session, with an average realized fee of 9 dollars. The second is district summer contracts, priced at 410 dollars per enrolled student for an eight-week program, which covers tutor pay, books, and software. The third is software licensing at 6 dollars per student seat per month to outside programs.

Our pilot center, with a monthly rent of 2,100 dollars and a paid staff of one site lead and six part-time tutors, reached center-level break-even in its sixth week. At 74 students, unit economics showed a contribution margin of about 31 percent after tutor pay, books, and rent. We expect margin to rise toward 40 percent as the matching engine lets each tutor handle more students per hour and as book shelves are reused across cohorts.

Competition

Our competitors fall into three groups. National tutoring chains offer individualized help but charge 40 to 70 dollars per hour and rarely locate in low-income districts. Digital reading apps are cheap and scalable, but they depend on a child having a device, a quiet room, and self-discipline, which our families often lack, and they provide no human relationship. Library and nonprofit programs are free and trusted, but they offer limited personalization and little outcome data.

Shelfmark's difference is the combination: a physical neighborhood presence, tutors matched by data, and book matching based on a precise reading level. We know of no program that does all three at a price families in our neighborhoods can pay. Our defensibility grows with data: every session improves our matching model, and a larger dataset of child-tutor-book pairings is hard for a newcomer to replicate.

Team

Maribel Okonkwo-Reyes, chief executive, is a senior studying education policy and spent two summers coordinating a library reading program. Tobias Lindqvist-Hart, chief technology officer, is a computer science senior who built the matching engine and diagnostic. Priyanka Venkataraghavan, head of curriculum, is a graduate student in literacy education and a former elementary teacher who designed our tutor training. Dwayne Castellano, head of operations, studies business and previously managed a community center, where he built relationships with the school principals who referred our first families. All four of us are based at our university and work on Shelfmark more than thirty hours a week.

Milestones and Financials

We have defined the core concept, built a working prototype of the diagnostic and matching software, and incorporated Shelfmark as a Delaware C Corporation with equal founder equity. Our website is live and handles enrollment. Over one eight-week summer we ran a pilot center serving 74 children, 61 of whom were paying families or district-sponsored. The pilot generated 21,300 dollars in revenue, including a 12,000 dollar contract with one elementary school. The average child gained 0.4 grade levels in reading over the summer, compared with the typical loss of a few months, and 91 percent of enrolled children attended at least 12 of 16 sessions. Parent satisfaction averaged 4.7 out of 5.

Our plan for the next twelve months is to open three new centers in time for the coming summer, serve about 550 students, and reach roughly 118,000 dollars in revenue. We project center-level profitability at all sites and company-wide break-even in the second year as software licensing grows.

What We Ask For

We are seeking 85,000 dollars in prize money or seed funding. About 45,000 dollars would fund the three new centers, covering deposits, first-quarter rent, book collections, and tutor training. About 25,000 dollars would extend the software to support more levels and a parent dashboard. The remaining 15,000 dollars would cover legal, insurance, and an independent evaluation of student outcomes, which we believe is the key to winning district contracts. Beyond funding, we would value introductions to school district officials and mentors who have scaled local service businesses.